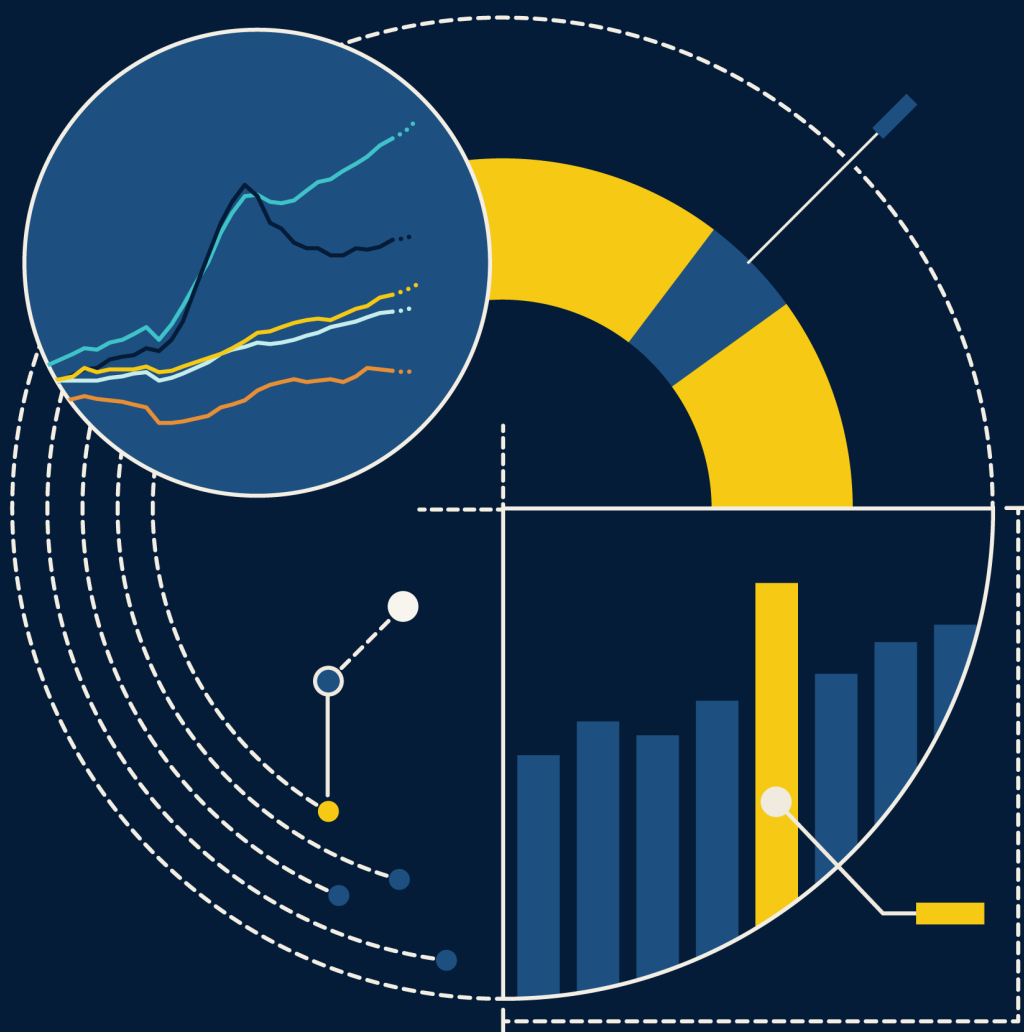


QUANT RESEARCH Private Capital Return Barometers

Timely insights into private market performance



Contents

Overview	3
Private equity	6
Venture capital	9
Private debt	12
Infrastructure	15
Natural resources	18

PitchBook Data, Inc.

Nizar Tarhuni Executive Vice President of Research and Market Intelligence

Daniel Cook, CFA Global Head of Quantitative Research and Market Intelligence

Zane Carmean, CFA, CAIA Director of Quantitative Research

Institutional Research Group

Analysis



Nathan Schwartz, CFA
Senior Quantitative Research Analyst
nathan.schwartz@pitchbook.com



Miles Ostroff
Associate Quantitative Research Analyst
miles.ostroff@pitchbook.com

pbinstitutionalresearch@pitchbook.com

Publishing

Report designed by **Drew Sanders**

Published on August 14, 2025

Click [here](#) for PitchBook's report methodologies.

For the most up to date PitchBook Private Capital Barometers, please refer to our [News & Analysis page](#).

Overview

The PitchBook Private Capital Return Barometers are a suite of models designed to evaluate the current return environment for US private market funds—encompassing PE, VC, private debt, infrastructure, and natural resources. These models provide a data-driven assessment of private market performance, leveraging macroeconomic and market fundamental factors to quantify return trends. Collectively, we refer to these models as the PitchBook Private Capital Barometers, or simply the “Barometers.”

The advantages of PitchBook’s Barometers

Private market returns tend to move more slowly and are far less transparent than those in public markets. Aside from maintaining an active private market allocation and receiving periodic updates from GPs, participants often must wait several months for closed-end funds to report performance before gaining a clear, comprehensive view of returns. Even then, fund net asset values (NAVs) and returns can lag shifts in the broader macroeconomic environment.

To bridge this reporting gap and provide a timelier view of private market fund performance, we developed the PitchBook Private Capital Return Barometers: a factor-based framework designed to estimate returns in near real time. The Barometers distill market fundamentals into a single score, quantifying the current state of the US closed-end fund return landscape and

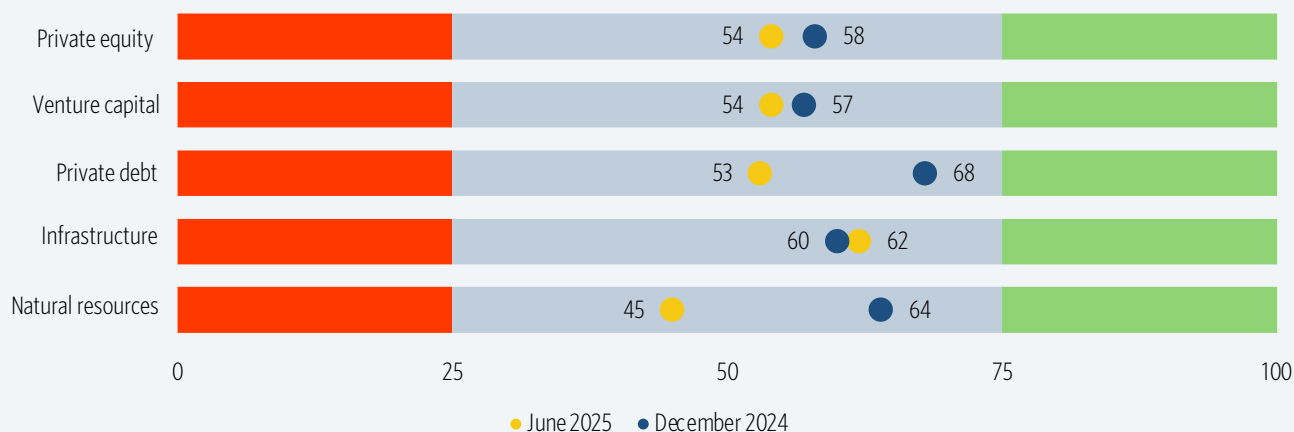
producing implied quarterly returns, or “nowcasts,” that help surface emerging trends faster. The key use cases for the Barometers include:

- Providing insight into the economic and market exposures in aggregate fund strategy returns.
- Nowcasting returns monthly to provide more real-time readings before quarterly returns are available.
- Identifying periods where reported returns deviate from fundamental expectations.

Understanding the Barometer score

Our framework generates a Barometer score, which we recalibrate to a 0 to 100 scale, where a score of 50 represents a neutral expectation of average returns for a given fund strategy. We define a neutral environment as falling within +/- two-thirds of a standard deviation from the Barometer’s mean. The neutral environment typically encompasses about 50% of all observations, assuming a normal distribution. Scores beyond the neutral threshold—below 25 and above 75—are classified as negative or positive, with the minimum and maximum scores (0 and 100) representing a 1.5 standard deviation move. While these cutoffs are somewhat arbitrary, they provide a quantifiable structure for interpreting returns and should be viewed as guideposts rather than strict limits.

Figure 1 ► PitchBook Private Capital Return Barometer current readings



Source: PitchBook • Geography: US • As of June 30, 2025
Note: Barometer scores below 25 are negative, 25 to 75 are neutral, and above 75 are positive.

These scores allow us to compare the relative market conditions across fund strategies and time, while also producing a real-time estimate of quarterly fund returns, which are available three months earlier than our preliminary returns provided in [PitchBook Benchmarks Reports](#). While the Barometers provide valuable directional insights, they are not forecasts of realized fund performance and should be interpreted as indicators of market conditions rather than precise return predictions.

In Figure 1, we compare the return landscape of June 2025 with conditions at the end of 2024. Across all fund strategies except infrastructure, the Barometers indicate a slightly weaker return environment relative to December 2024. Still, all current readings remain firmly within the neutral zone, reflecting expectations for near-average returns in Q2 2025.

The scores are directly associated with the nowcasts—the implied reported quarterly returns—in the below charts. For instance, PE’s Barometer score of 54 corresponds to an implied reported return of 3.3% for Q2 2025.

Reported versus desmoothed returns

Private market investments are typically priced infrequently (most often on a quarterly basis) and rely on unaudited

estimates of what the investment might sell for in an arm’s-length transaction. This practice can introduce bias into reported fund NAVs, leading to understated volatility and correlations, and ultimately producing “smoothed” return patterns.

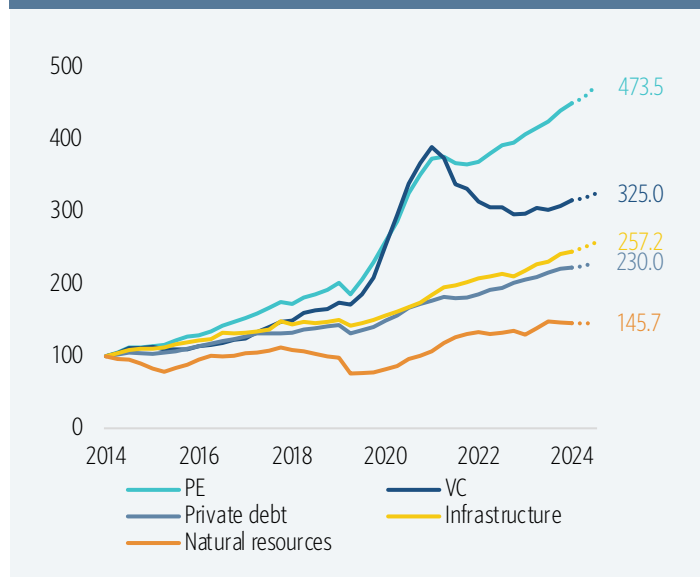
To address this distortion, we adjust the reported return series by estimating and reintroducing the missing volatility. The result is a “desmoothed” return series that more accurately reflects the true underlying economic reality of private market performance. Because it is valuable to understand both perspectives, we provide two measures: a nowcast, estimating reporting returns, and a desmoothed nowcast, estimating desmoothed returns.

Improved explanatory power in high-variance periods

The Barometer typically moves within the neutral zone, but readings outside this range carry particular significance. When focusing on periods of high variance—greater than two-thirds of a standard deviation—the Barometers demonstrate stronger explanatory power.

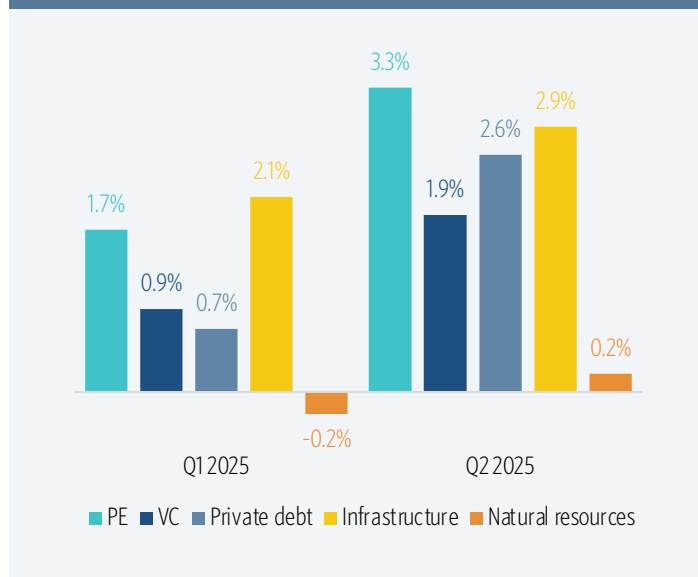
During times of extreme market optimism or pessimism, indicators tend to move in sync, driven largely by macroeconomic forces, much like a rising or falling tide. In contrast, during periods of neutral returns, these broad forces

Figure 2 ▶ Private Capital Indexes with nowcasts



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 3 ▶ Return nowcasts



Source: PitchBook • Geography: US • As of June 30, 2025

exert less influence, and idiosyncratic factors play a larger role in driving performance.

For example, the PE Barometer explains 70% of the variance in quarterly desmoothed PE returns from Q1 2009 to Q4 2024. However, when isolating instances where the Barometer deviates more than two-thirds of a standard deviation from the mean over the same period, it explains 85% of the variance. This suggests that the farther the Barometer reading is from the mean, the greater the confidence that finalized returns will align with its estimate.

We leveraged the model's heightened accuracy during periods of market stress to simulate, in real time, the volatility that private funds experienced in response to April's "Liberation Day" tariff announcements. For a deeper look at how we incorporated daily frequency indicators to enable timelier nowcasting, refer to our [Analyst Note: What Volatility Means for Private Fund NAVs](#).

Model features

The indicators used in the Barometers are selected based on a fundamental view of return drivers in each respective fund strategy. These indicators fall into six broad categories: macroeconomic, equity, credit/rates, VC, infrastructure, and commodities. For most indicators, we created separate

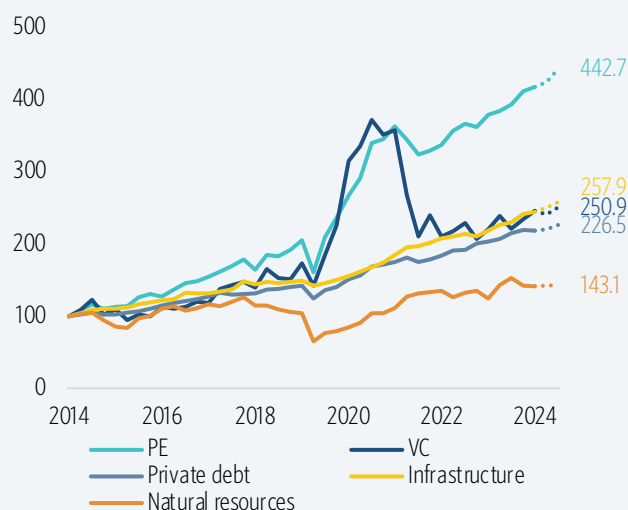
time series for both the level and the trend of each indicator. In each fund strategy section of this report, we provide a table detailing the specific indicators used to model returns for that fund strategy. The definitions for the three value columns included in the tables are as follows:

- **Beta:** The indicator's coefficient used in the Barometer's linear regression. The Barometer score is most sensitive to indicators with the highest absolute Beta values.
- **Value:** The Z-score for the indicator's current value relative to historical values.
- **Contribution:** The product of the Beta and Value columns. The total of the Contribution column is the Barometer Z-score. Indicators with the highest absolute Contribution values have the most significant impact on the Barometer score.

Additional Barometer information

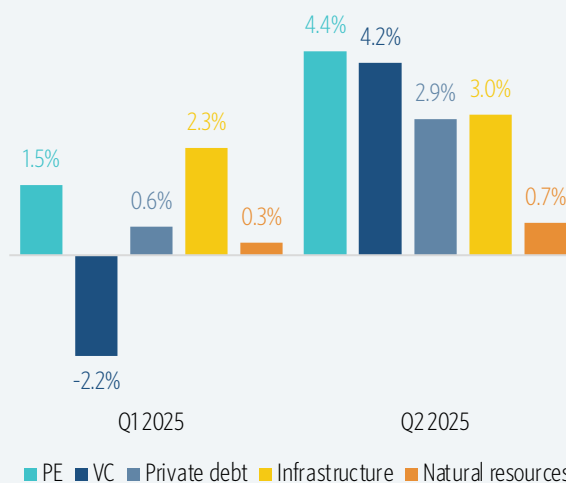
The PitchBook Private Capital Return Barometers are available on our [News & Analysis page](#), which is updated monthly with the latest nowcasts and desmoothed nowcasts, along with a glossary of key definitions. For a detailed explanation of our methodology, please refer to our note, [Allocator Solutions: PitchBook's Expanded Suite of Private Capital Return Barometers](#).

Figure 4 ▶ Private Capital Indexes with desmoothed nowcasts



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 5 ▶ Desmoothed return nowcasts



Source: PitchBook • Geography: US • As of June 30, 2025

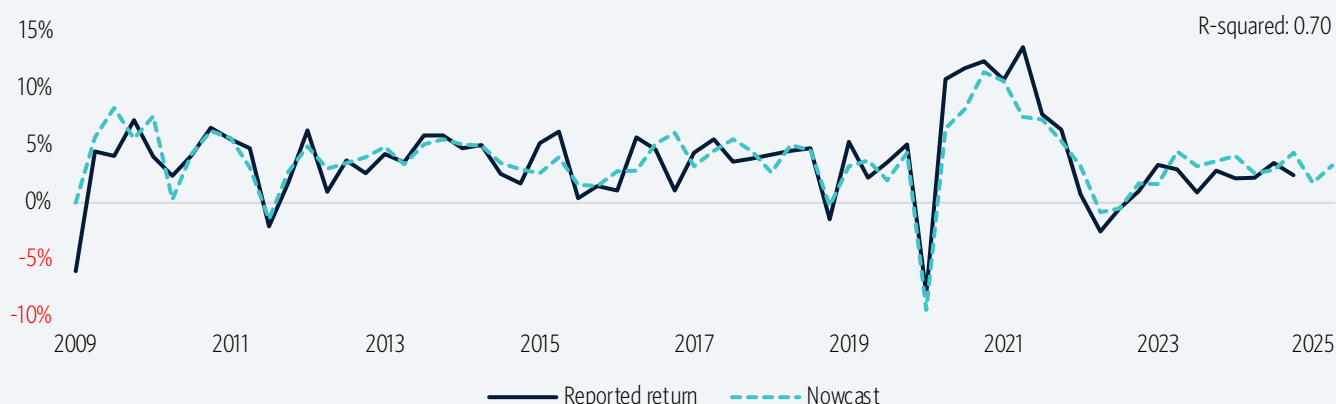
Private equity

Like many asset classes, US PE funds experienced strong performance gains in the market acceleration during the COVID-19 pandemic. Since 2023, however, returns have moderated, settling into a range of 1% to 3.5% per quarter. This trend reflects a broader environment of tempered deal activity, rising borrowing costs, and extended exit timelines, all of which have contributed to the normalization of PE returns post-pandemic.

Currently, the PE Barometer sits firmly in neutral territory with a score of 54, producing a nowcast of 3.3% and a desmoothed nowcast of 4.4% for Q2 2025. We expect finalized aggregate PE returns for Q2 to align closely with the long-run average for the asset class.

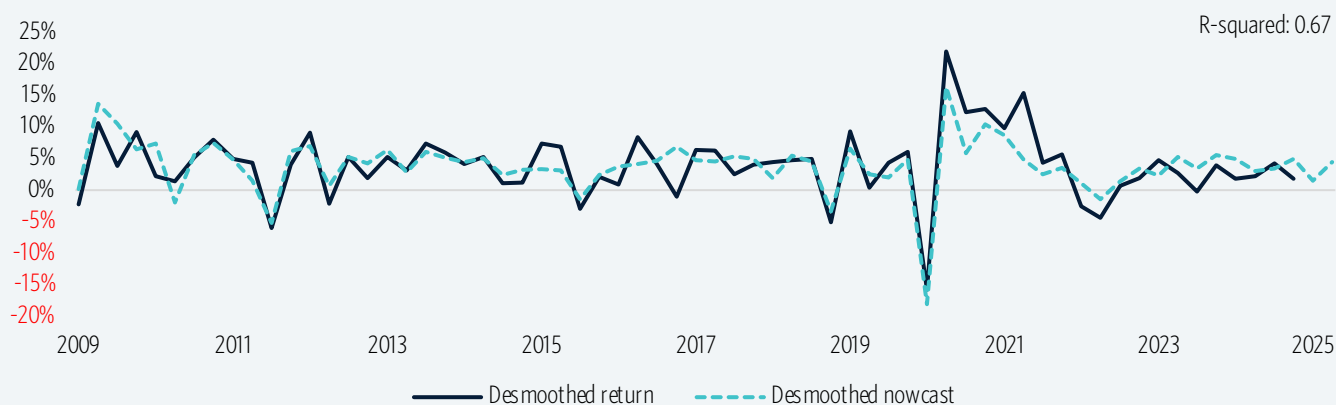
A review of desmoothed returns and the desmoothed nowcast over a rolling one-year horizon shows that PE fund

Figure 6 ▶ PE nowcast vs. reported returns



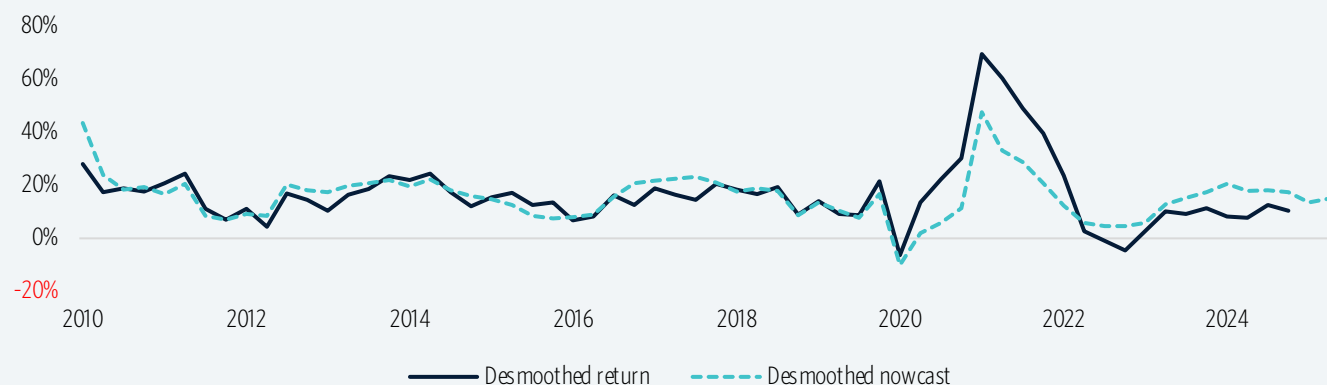
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 7 ▶ PE desmoothed nowcast vs. desmoothed returns



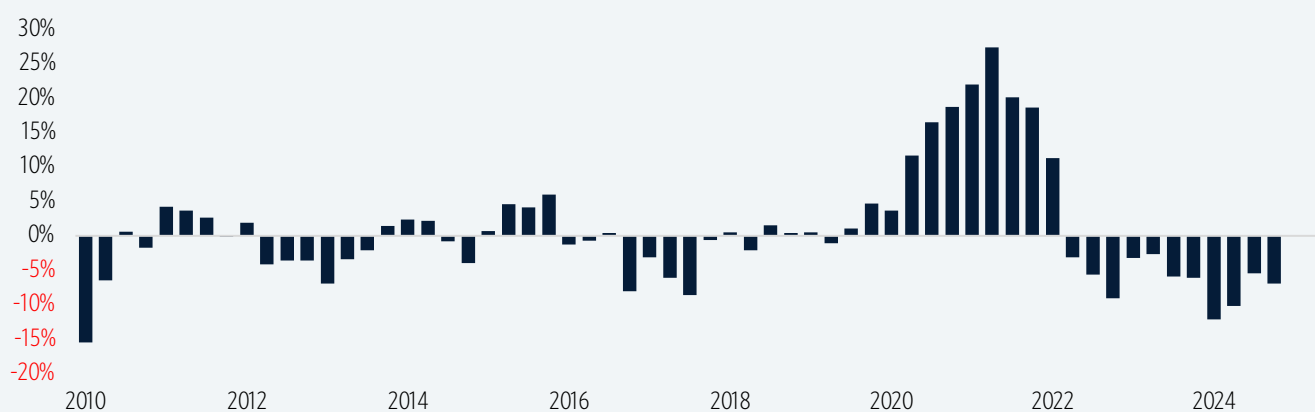
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 8 ▶ Rolling one-year PE fund returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 9 ▶ Difference in rolling one-year PE fund returns



Source: PitchBook • Geography: US • As of December 31, 2024
 Note: The rolling one-year return difference reflects the desmoothed return minus the desmoothed nowcast.

returns significantly exceeded fundamental expectations implied by macroeconomic conditions throughout 2021 and 2022. Since 2022, however, the pendulum has swung in the opposite direction, with returns underperforming these fundamentals. A noticeable gap remains between modeled expectations and realized returns—a discrepancy likely driven by slower realizations, fewer distributions, and muted valuation growth.

Looking ahead, persistent macroeconomic uncertainty, coupled with tighter financing conditions, may keep returns in

this muted range. However, a rebound is possible if public equity markets maintain their upward trajectory and exit activity improves.

The PE Barometer is most influenced by public equity indexes and measures of equity volatility, both of which contributed positively this quarter as stocks gained and volatility declined. Macroeconomic indicators—such as OECD Business Confidence and the Chicago Fed National Activity Index—contributed negatively, though not enough to offset the lift from public market performance.

Figure 10 ► PE desmoothed nowcast indicator contribution

Type	Indicator	Signal	Beta	Value	Contribution
Credit/rates	Financial Stress Index	Level	-0.07	-0.80	0.05
Credit/rates	Financial Stress Index	Trend	-0.12	-0.19	0.02
Credit/rates	High-yield spreads	Trend	-0.11	0.17	-0.02
Equity	Implied equity volatility	Level	-0.07	-0.14	0.01
Equity	Implied equity volatility	Trend	-0.13	-0.35	0.04
Equity	Small-cap equity	Trend	0.13	0.36	0.05
Equity	Value equity	Trend	0.13	0.06	0.01
Macro	Business confidence	Level	0.03	-0.95	-0.03
Macro	Business confidence	Trend	0.09	-0.35	-0.03
Macro	Composite leading indicators	Trend	0.07	0.06	0.00
Macro	National Activity Index	Level	0.09	-0.10	-0.01
Macro	National Activity Index	Trend	0.08	-0.17	-0.01
				Barometer Z-score	0.09
				Barometer score	54
				Desmoothed nowcast	4.4%
				Nowcast	3.3%

Source: PitchBook • Geography: US • As of June 30, 2025

Financial Stress Index: A composite measure by the Federal Reserve Bank of St. Louis, capturing US financial market stress using 18 interest rate, yield spread, and market indicators.

High-yield spreads: The ICE BofA US Corporate High Yield Option-Adjusted Spread, reflecting the credit risk premium of high-yield bonds over Treasuries.

Implied equity volatility: The VIX Index, representing market expectations of 30-day S&P 500 volatility implied by option prices.

Small-cap equity: The quarterly returns of the Morningstar US Small Cap Extended Index, which tracks small-cap US equities.

Value equity: The quarterly returns of the Morningstar US Small Cap Broad Value Extended Index, which captures small-cap value stocks.

Business confidence: The OECD Business Confidence measure, based on industry surveys of expected production, orders, and inventories.

Composite leading indicators: OECD indicators providing early signals of turning points in economic activity relative to long-term trends.

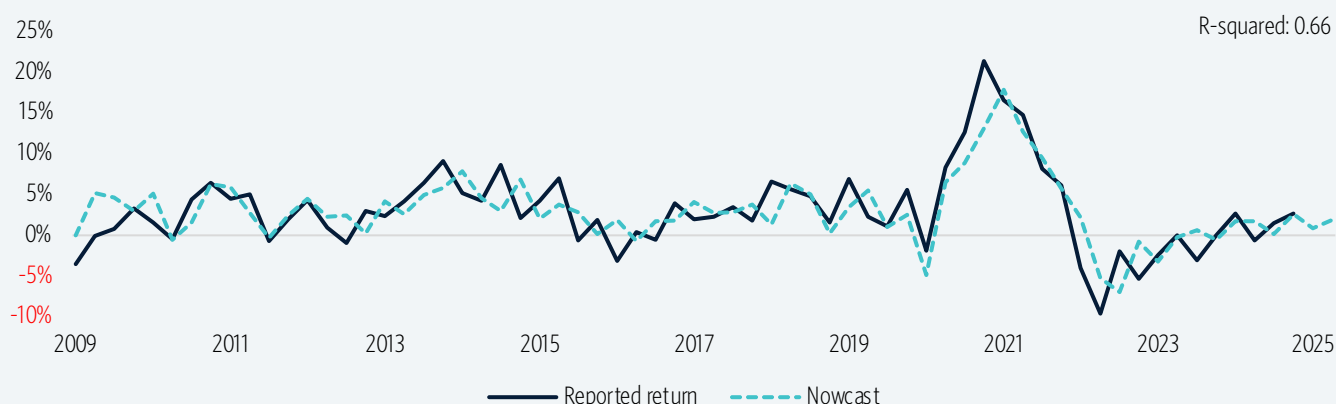
National Activity Index: The Chicago Fed index, summarizing US economic activity via 85 monthly indicators across major sectors.

Venture capital

The VC universe has shifted from the soaring highs of 2021 and 2022 to a more uneven and selective market in 2025. After a period marked by aggressive fundraising, record deal activity, and frequent IPOs, the fund strategy saw a sharp slowdown as interest rates rose, exits stalled, and valuations came under pressure. Quarterly VC returns dipped into negative territory in 2022 but have since recovered, though not uniformly across the space.

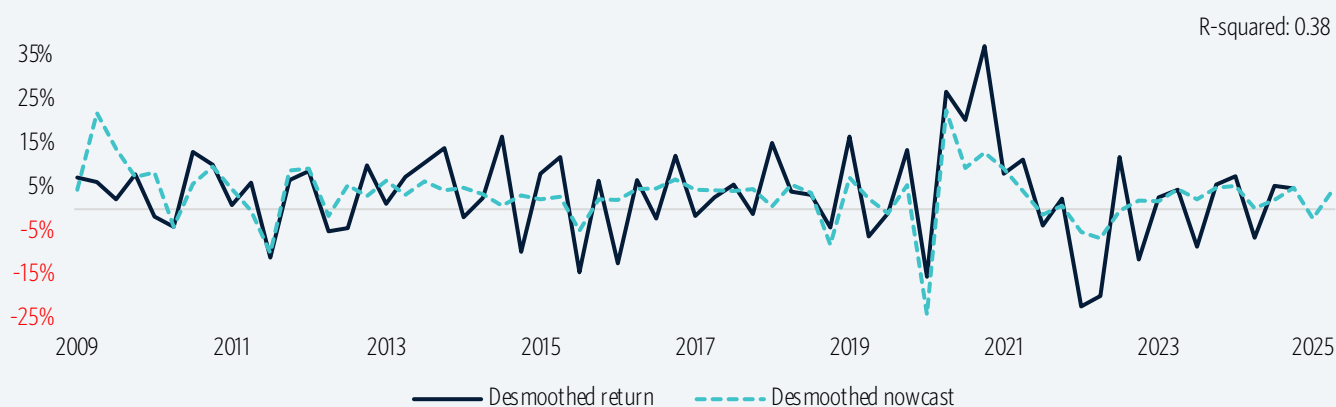
For Q2 2025, the VC Barometer posts a score of 54, implying a nowcast of 1.9% and a desmoothed nowcast of 4.2%. This headline figure, however, masks the divergence within venture. AI-focused companies dominate deal flow, achieve the highest valuation step-ups, and drive most exits, while other sectors continue to struggle for liquidity and growth—a clear “haves” and “have-nots” dynamic.

Figure 11 ► VC nowcast vs. reported returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 12 ► VC desmoothed nowcast vs. desmoothed returns



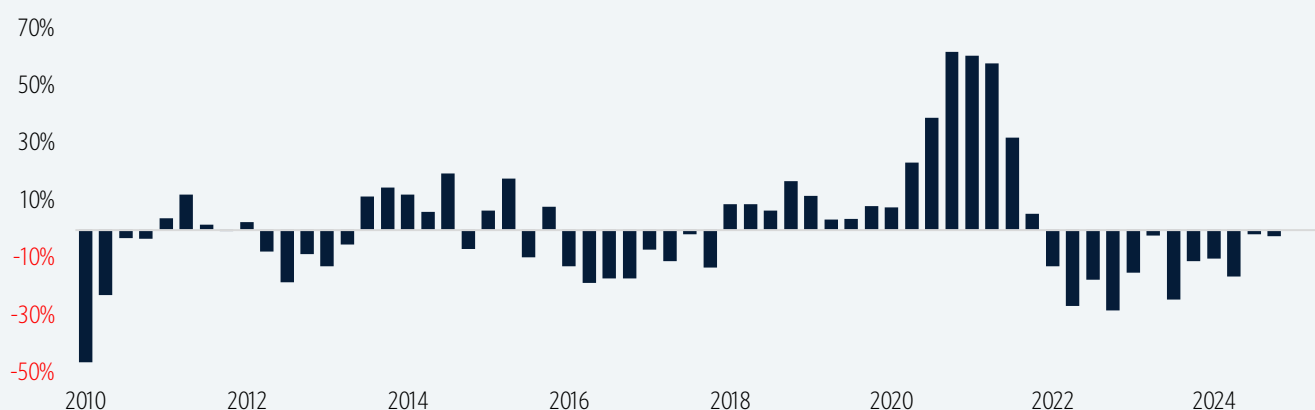
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 13 ▶ Rolling one-year VC fund returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 14 ▶ Difference in rolling one-year VC fund returns



Source: PitchBook • Geography: US • As of December 31, 2024
Note: The rolling one-year return difference reflects the desmoothed return minus the desmoothed nowcast.

Over the past year, desmoothed VC returns have aligned closely with our Barometer's implied levels. Historically, venture returns have tended to oscillate around fundamental expectations. This suggests that after this period of underperformance, the potential exists for an upswing if liquidity improves and sentiment broadens beyond AI.

The VC Barometer is heavily influenced by public equity indexes—particularly growth and small-cap benchmarks—

which are currently the strongest contributors to its Barometer score. Offsetting these positives are weaker readings from macroeconomic indicators.

While 2025 has seen some high-profile VC-backed IPOs, including Circle, CoreWeave, and Figma, IPO activity remains below historical averages in Q2 2025. Because the VC Barometer incorporates only the number of companies going public, not their individual market performance, the limited IPO volume detracts from the overall VC Barometer score.

Figure 15 ► VC desmoothed nowcast indicator contribution

Type	Indicator	Signal	Beta	Value	Contribution
Credit/rates	Financial Stress Index	Trend	-0.09	-0.19	0.02
Credit/rates	High-yield spreads	Trend	-0.09	0.17	-0.02
Equity	Growth equity	Trend	0.10	0.69	0.07
Equity	Implied equity volatility	Trend	-0.10	-0.35	0.03
Equity	Small-cap equity	Trend	0.10	0.36	0.04
Macro	Business confidence	Trend	0.08	-0.35	-0.03
Macro	Composite leading indicators	Trend	0.06	0.06	0.00
Macro	Consumer confidence	Trend	0.05	-0.10	-0.01
Macro	Core PCE	Level	-0.03	0.52	-0.02
Macro	National Activity Index	Level	0.06	-0.10	-0.01
Macro	National Activity Index	Trend	0.06	-0.17	-0.01
Venture capital	VC IPO count	Level	0.01	-0.77	-0.01
Venture capital	VC IPO count	Trend	0.05	-0.01	0.00
Barometer Z-score					0.07
Barometer score					54
Desmoothed nowcast					4.2%
Nowcast					1.9%

Source: PitchBook • Geography: US • As of June 30, 2025

Financial Stress Index: A composite measure by the Federal Reserve Bank of St. Louis, capturing US financial market stress using 18 interest rate, yield spread, and market indicators.

High-yield spreads: The ICE BofA US Corporate High Yield Option-Adjusted Spread, reflecting the credit risk premium of high-yield bonds over Treasuries.

Growth equity: The quarterly returns of the Morningstar US Small Cap Broad Growth Extended Index, which captures small-cap growth stocks.

Implied equity volatility: The VIX Index, representing market expectations of 30-day S&P 500 volatility implied by option prices.

Small-cap equity: The quarterly returns of the Morningstar US Small Cap Extended Index, which tracks small-cap US equities.

Business confidence: The OECD Business Confidence measure, based on industry surveys of expected production, orders, and inventories.

Composite leading indicators: OECD indicators providing early signals of turning points in economic activity relative to long-term trends.

Consumer confidence: The OECD Consumer Confidence indicator reflects households' expectations for their financial situation, the economy, unemployment, and saving capacity, providing an outlook for future consumption trends.

Core PCE: The year-over-year percentage change in consumer prices, excluding food and energy.

National Activity Index: The Chicago Fed index, summarizing US economic activity via 85 monthly indicators across major sectors.

VC IPO count: The number of US IPOs completed by VC-backed companies during the quarter.

Private debt

Private debt continues to deliver consistently positive returns, supported by high all-in yields and the asset class's ability to return capital to investors on schedule. This trend is expected to persist as reported return figures for the first half of 2025 become available. While the asset class has attracted significant new capital for deployment, growing competition may introduce some pressure on future performance.

The Private Debt Barometer currently holds a stable, slightly positive score of 53, with a nowcast of 2.6% and a desmoothed nowcast of 2.9% for Q2 2025. These readings are driven primarily by performance in public equity and credit indexes, market volatility, Treasury yields, and broader macroeconomic factors. Current indicators point to relatively healthy fundamentals for private debt returns.

Figure 16 ▶ Private debt nowcast vs. reported returns



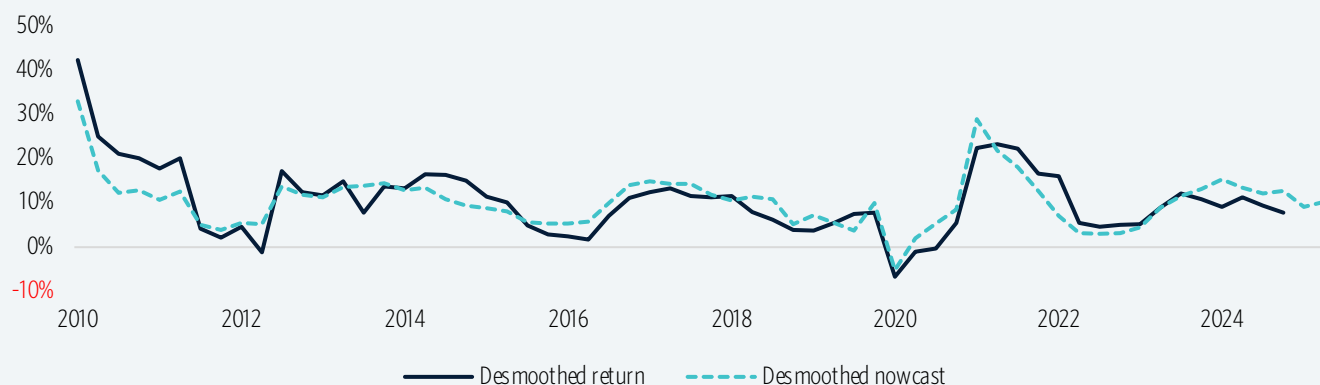
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 17 ▶ Private debt desmoothed nowcast vs. desmoothed returns



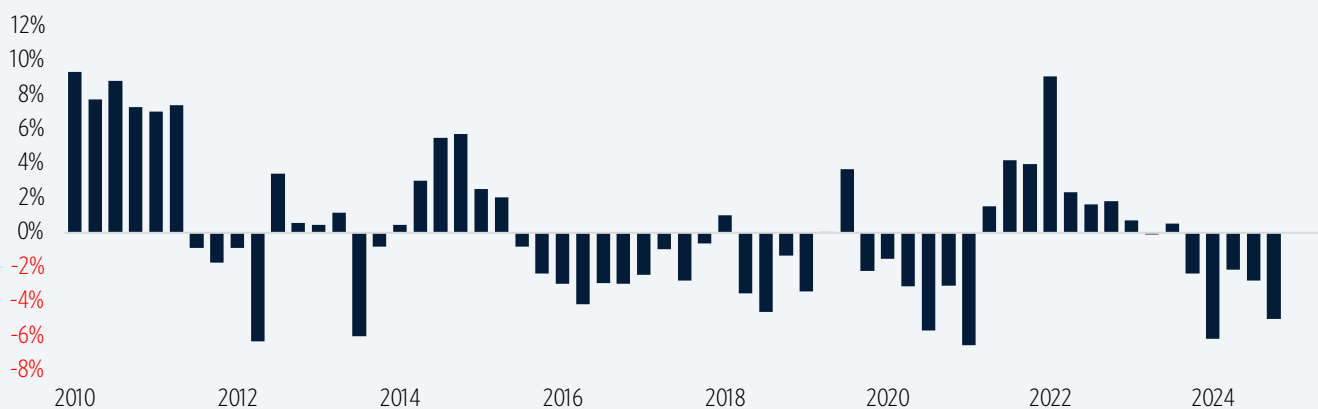
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 18 ▶ Rolling one-year private debt fund returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 19 ▶ Difference in rolling one-year private debt fund returns



Source: PitchBook • Geography: US • As of December 31, 2024
 Note: The rolling one-year return difference reflects the desmoothed return minus the desmoothed nowcast.

Over the past year, private debt returns have modestly underperformed fundamental expectations, though this underperformance appears to be easing. Looking ahead, returns may face pressure from two key sources. First, potential rate cuts by the Federal Reserve could lower base yields, reducing the income advantage of floating-rate

instruments. Second, with credit spreads already near historically tight levels, risks lean toward credit spread widening, particularly amid a US economy adjusting to shifting global trade dynamics and a softening labor market. Together, these factors could weigh on private debt's total returns in the coming quarters.

Figure 20 ▶ Private debt desmoothed nowcast indicator contribution

Type	Indicator	Signal	Beta	Value	Contribution
Credit/rates	Financial Stress Index	Level	-0.04	-0.80	0.03
Credit/rates	Financial Stress Index	Trend	-0.09	-0.19	0.02
Credit/rates	High-yield spreads	Trend	-0.10	0.17	-0.02
Credit/rates	LSTA US Leveraged Loan defaults	Level	0.00	-0.51	0.00
Credit/rates	LSTA US Leveraged Loan Index	Trend	0.10	0.10	0.01
Credit/rates	Lending standards	Level	0.04	0.04	0.00
Credit/rates	Lending standards	Trend	-0.02	0.52	-0.01
Credit/rates	US 10-Year Treasury	Trend	0.06	0.17	0.01
Credit/rates	US Treasury yield curve	Level	0.02	-1.01	-0.02
Credit/rates	US Treasury yield curve	Trend	0.04	0.13	0.01
Equity	Implied equity volatility	Level	-0.04	-0.14	0.01
Equity	Implied equity volatility	Trend	-0.09	-0.35	0.03
Equity	Small-cap equity	Trend	0.10	0.36	0.04
Equity	Value equity	Trend	0.10	0.06	0.01
Macro	Business confidence	Trend	0.08	-0.35	-0.03
Macro	Composite leading indicators	Trend	0.06	0.06	0.00
Macro	Consumer confidence	Trend	0.05	-0.10	-0.01
Macro	National Activity Index	Level	0.06	-0.10	-0.01
Macro	National Activity Index	Trend	0.05	-0.17	-0.01
				Barometer Z-score	0.07
				Barometer score	53
				Desmoothed nowcast	2.9%
				Nowcast	2.6%

Source: PitchBook • Geography: US • As of June 30, 2025

Financial Stress Index: A composite measure by the Federal Reserve Bank of St. Louis, capturing US financial market stress using 18 interest rate, yield spread, and market indicators.

High-yield spreads: The ICE BofA US Corporate High Yield Option-Adjusted Spread, reflecting the credit risk premium of high-yield bonds over Treasuries.

LSTA US Leveraged Loan defaults: The ratio of defaulted loans to total loans within the Morningstar LSTA US Leveraged Loan Index.

LSTA US Leveraged Loan Index: The quarterly returns of the Morningstar LSTA US Leveraged Loan Index, which tracks the US leveraged loan market.

Lending standards: The net difference in the percentage of banks tightening versus easing lending standards for middle- to large-size corporates, as reported by the Senior Loan Officer Opinion Survey.

US 10-Year Treasury: The market yield on US Treasury securities with a 10-year constant maturity.

US Treasury yield curve: The yield spread between 10-year and three-month US Treasury securities.

Implied equity volatility: The VIX Index, representing market expectations of 30-day S&P 500 volatility implied by option prices.

Small-cap equity: The quarterly returns of the Morningstar US Small Cap Extended Index, which tracks small-cap US equities.

Value equity: The quarterly returns of the Morningstar US Small Cap Broad Value Extended Index, which captures small-cap value stocks.

Business confidence: The OECD Business Confidence measure, based on industry surveys of expected production, orders, and inventories.

Composite leading indicators: OECD indicators providing early signals of turning points in economic activity relative to long-term trends.

Consumer confidence: The OECD Consumer Confidence indicator reflects households' expectations for their financial situation, the economy, unemployment, and saving capacity, providing an outlook for future consumption trends.

National Activity Index: The Chicago Fed index, summarizing US economic activity via 85 monthly indicators across major sectors.

Infrastructure

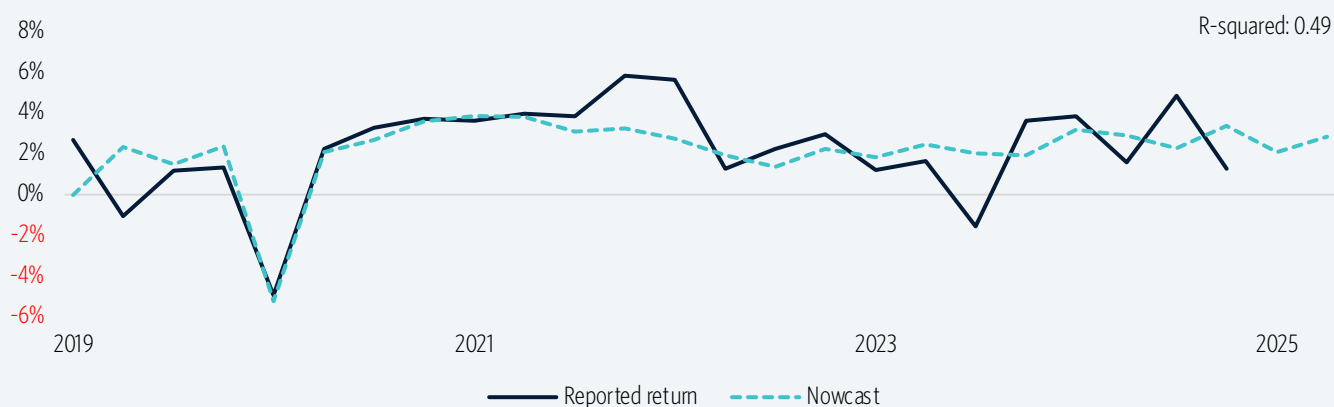
The Infrastructure Barometer currently sits at a neutral 62, up two points from December 2024, indicating steady expectations for Q2 2025. The nowcast for this period is 2.9%, which is closely aligned with the desmoothed nowcast of 3%, pointing to a stable near-term return environment.

Unlike other Barometers, which begin in 2009, the Infrastructure Barometer starts in 2019 due to data availability

limitations. As a result, it has not yet captured a complete market cycle. As additional return observations are incorporated, the model is being refined to improve its ability to reflect varying market conditions.

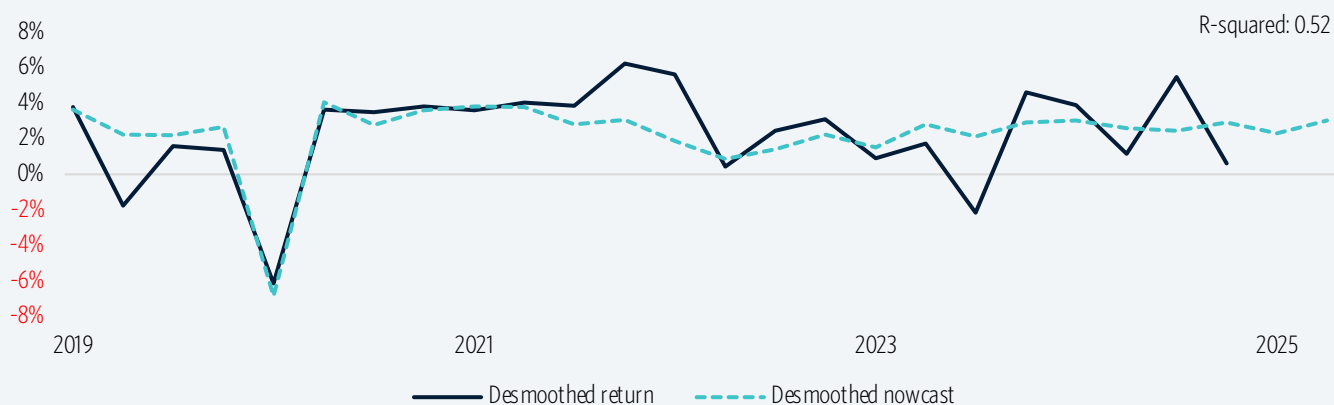
At present, the Barometer's neutral position indicates that reported and desmoothed returns are likely to remain close to nowcast estimates, consistent with patterns observed

Figure 21 ► Infrastructure nowcast vs. reported returns



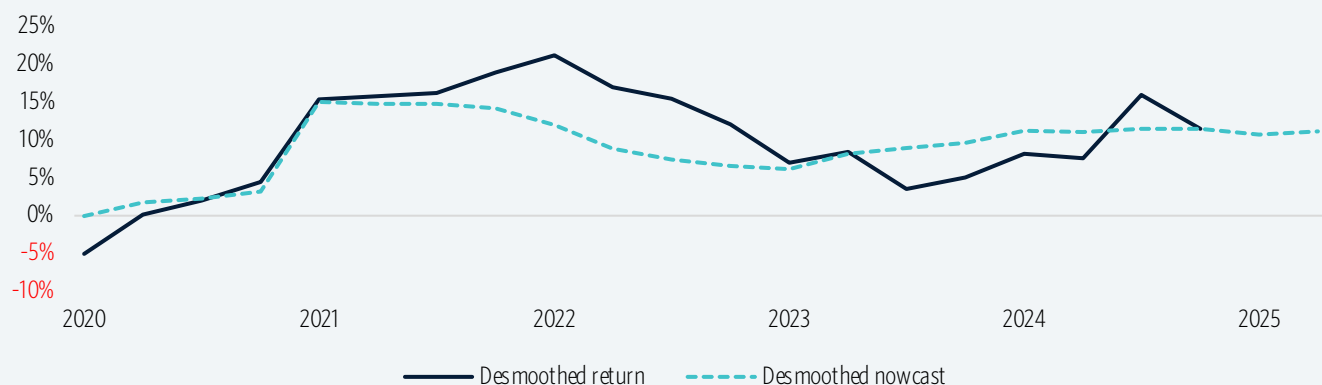
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 22 ► Infrastructure desmoothed nowcast vs. desmoothed returns



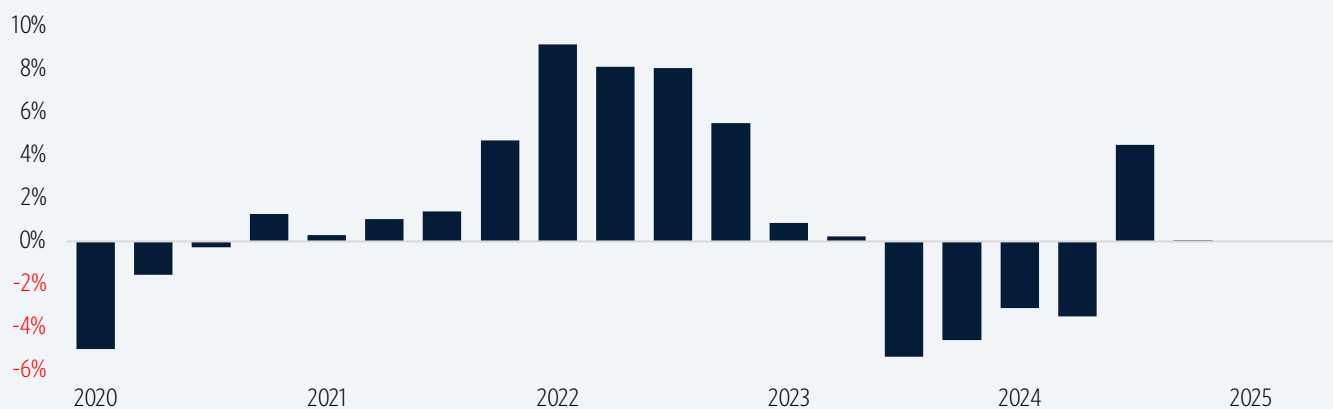
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 23 ▶ Rolling one-year infrastructure fund returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 24 ▶ Difference in rolling one-year infrastructure fund returns



Source: PitchBook • Geography: US • As of December 31, 2024
 Note: The rolling one-year return difference reflects the desmoothed return minus the desmoothed nowcast.

throughout 2024. On a rolling one-year basis, infrastructure returns have slightly underperformed fundamental expectations in 2024. However, the current one-year desmoothed return and one-year desmoothed nowcast are

nearly identical, separated by only 0.1%. With forecasts for Q1 and Q2 2025 largely unchanged from year-end 2024 levels, there is little near-term signal suggesting either improving or declining returns.

Figure 25 ► Infrastructure desmoothed nowcast indicator contribution

Type	Indicator	Signal	Beta	Value	Contribution
Credit/rates	Financial Stress Index	Level	-0.11	-0.59	0.07
Credit/rates	Financial Stress Index	Trend	-0.10	-0.20	0.02
Credit/rates	High-yield spreads	Level	-0.09	-0.86	0.07
Credit/rates	High-yield spreads	Trend	-0.11	0.02	0.00
Equity	Implied equity volatility	Level	-0.10	-0.29	0.03
Equity	Implied equity volatility	Trend	-0.11	-0.29	0.03
Infrastructure	Global infrastructure	Trend	0.09	0.45	0.04
Macro	Business confidence	Level	0.04	-0.63	-0.03
Macro	CRE delinquency rate	Trend	-0.03	-0.06	0.00
Macro	Composite leading indicators	Level	0.04	0.80	0.03
Macro	Composite leading indicators	Trend	0.05	0.12	0.01
Macro	National Activity Index	Level	0.09	-0.15	-0.01
Barometer Z-score					0.26
Barometer score					62
Desmoothed nowcast					3.0%
Nowcast					2.9%

Source: PitchBook • Geography: US • As of June 30, 2025

Financial Stress Index: A composite measure by the Federal Reserve Bank of St. Louis, capturing US financial market stress using 18 interest rate, yield spread, and market indicators.

High-yield spreads: The ICE BofA US Corporate High Yield Option-Adjusted Spread, reflecting the credit risk premium of high-yield bonds over Treasuries.

Implied equity volatility: The VIX Index, representing market expectations of 30-day S&P 500 volatility implied by option prices.

Global infrastructure: The quarterly returns of the Morningstar Global Equity Infrastructure Index, which provides diversified exposure to equity issuers identified as infrastructure-related companies.

Business confidence: The OECD Business Confidence measure, based on industry surveys of expected production, orders, and inventories.

CRE delinquency rate: The share of commercial real estate loans, excluding farmland, reported as delinquent across US commercial banks.

Composite leading indicators: OECD indicators providing early signals of turning points in economic activity relative to long-term trends.

National Activity Index: The Chicago Fed index, summarizing US economic activity via 85 monthly indicators across major sectors.

Natural resources

Following strong returns in 2021 and 2022, natural resources performance has softened. The Natural Resources Barometer score for Q2 2025 is 45, down sharply from 64 in Q4 2024, signaling a weaker return environment for natural resources funds. Declining commodity prices, weaker business confidence, and falling inflation have combined to produce muted nowcasts—0.2% reported and 0.7% desmoothed—both below the long-term average.

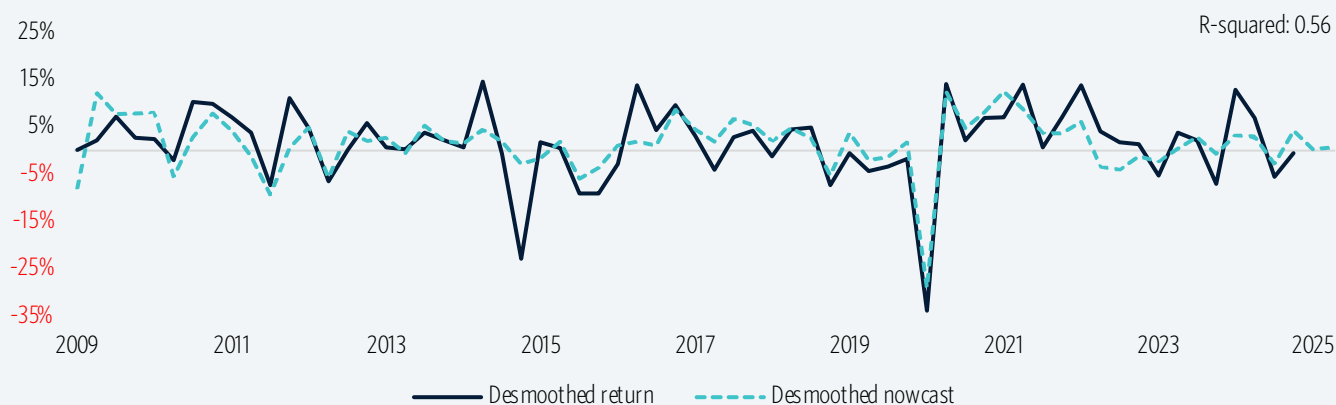
Historically, natural resources fund returns have been highly cyclical, showing extended periods of gains or losses on a one-year rolling basis. At present, the Natural Resources Barometer indicates a flatter trend, but this could shift if global trade disruptions alter the balance of supply and demand in the commodities and energy markets.

Figure 26 ► Natural resources nowcast vs. reported returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 27 ► Natural resources desmoothed nowcast vs. desmoothed returns



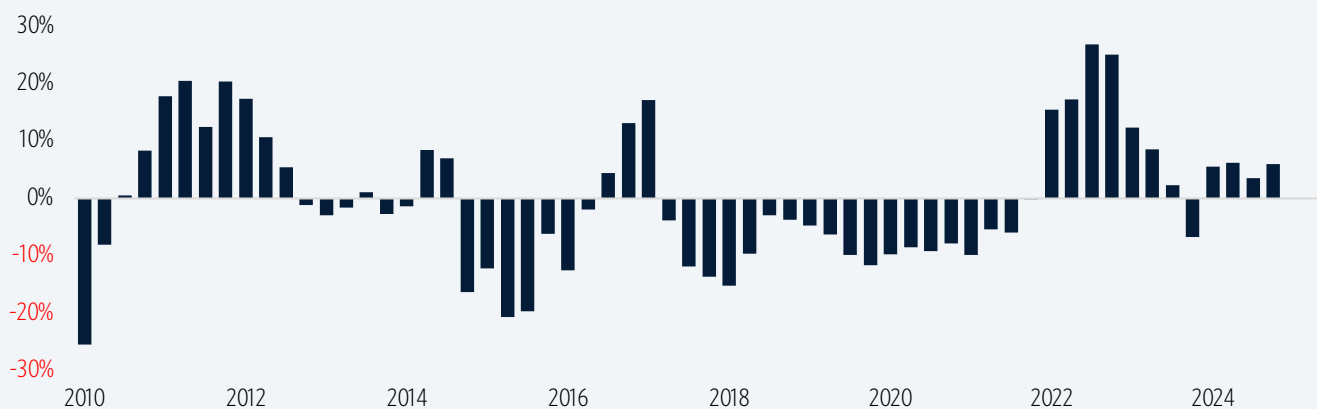
Source: PitchBook • Geography: US • As of June 30, 2025

Figure 28 ▶ Rolling one-year natural resources fund returns



Source: PitchBook • Geography: US • As of June 30, 2025

Figure 29 ▶ Difference in rolling one-year natural resources fund returns



Source: PitchBook • Geography: US • As of December 31, 2024
 Note: The rolling one-year return difference reflects the desmoothed return minus the desmoothed nowcast.

Potential geopolitical disruptions, shifts in OPEC production targets, or accelerated renewable energy adoption could create both risks and opportunities for natural resources investors. Despite near-term challenges, the strategic importance of sectors such as energy, agriculture, and

industrial metals remains strong. Long-term growth potential may be supported by the global energy transition, technological advancements in resource extraction, and sustained demand for agricultural commodities.

Figure 30 ► Natural resources desmoothed nowcast indicator contribution

Type	Indicator	Signal	Beta	Value	Contribution
Commodity	Aluminum price	Trend	0.09	-0.63	-0.05
Commodity	Copper price	Trend	0.06	-0.12	-0.01
Commodity	Iron ore price	Trend	0.04	-0.52	-0.02
Commodity	Oil price	Trend	0.09	-0.14	-0.01
Credit/rates	Financial Stress Index	Level	-0.12	-0.80	0.09
Credit/rates	Financial Stress Index	Trend	-0.08	-0.19	0.01
Credit/rates	High-yield spreads	Trend	-0.07	0.17	-0.01
Credit/rates	Lending standards	Trend	-0.06	0.52	-0.03
Credit/rates	US 10-Year Treasury	Trend	0.07	0.17	0.01
Equity	Implied equity volatility	Level	-0.10	-0.14	0.01
Equity	Implied equity volatility	Trend	-0.09	-0.35	0.03
Macro	Business confidence	Level	0.10	-0.95	-0.09
Macro	Business confidence	Trend	0.06	-0.35	-0.02
Macro	Composite leading indicators	Trend	0.08	0.06	0.00
Macro	Core PCE	Trend	0.05	-0.14	-0.01
Macro	National Activity Index	Level	0.10	-0.10	-0.01
Macro	National Activity Index	Trend	0.05	-0.17	-0.01
				Barometer Z-score	-0.11
				Barometer score	45
				Desmoothed nowcast	0.7%
				Nowcast	0.2%

Source: PitchBook • Geography: US • As of June 30, 2025

Aluminum price: The quarterly percentage change in the global benchmark price of aluminum.

Copper price: The quarterly percentage change in the global benchmark price of copper.

Iron ore price: The quarterly percentage change in the global benchmark price of iron ore.

Oil price: The quarterly percentage change in the benchmark price of West Texas Intermediate crude oil.

Financial Stress Index: A composite measure by the Federal Reserve Bank of St. Louis, capturing US financial market stress using 18 interest rate, yield spread, and market indicators.

High-yield spreads: The ICE BofA US Corporate High Yield Option-Adjusted Spread, reflecting the credit risk premium of high-yield bonds over Treasuries.

Lending standards: The net difference in the percentage of banks tightening versus easing lending standards for middle- to large-size corporates, as reported by the Senior Loan Officer Opinion Survey.

US 10-Year Treasury: The market yield on US Treasury securities with a 10-year constant maturity.

Implied equity volatility: The VIX Index, representing market expectations of 30-day S&P 500 volatility implied by option prices.

Business confidence: The OECD Business Confidence measure, based on industry surveys of expected production, orders, and inventories.

Composite leading indicators: OECD indicators providing early signals of turning points in economic activity relative to long-term trends.

Core PCE: The year-over-year percentage change in consumer prices, excluding food and energy.

National Activity Index: The Chicago Fed index, summarizing US economic activity via 85 monthly indicators across major sectors.

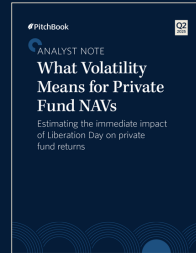
Additional Research

Private markets



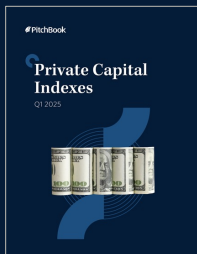
Q4 2024 Allocator Solutions: PitchBook's Expanded Suite of Private Capital Return Barometers

Download the report [here](#)



Q2 2025 Analyst Note: What Volatility Means for Private Fund NAVs

Download the report [here](#)



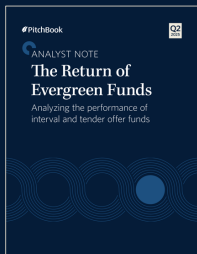
Q1 2025 PitchBook Private Capital Indexes

Download the report [here](#)



2024 PitchBook Global Manager Performance Score League Tables

Download the report [here](#)



Q2 2025 Analyst Note: The Return of Evergreen Funds

Download the report [here](#)



Q4 2024 PitchBook Benchmarks (with preliminary Q1 2025 data)

Download the report [here](#)